The Four Levels of AI Literacy

A free reference map from AI GOVERNANCE CHAIN™

AI literacy is not one thing. It is a ladder, and different roles need to stand on different rungs. This map names the four levels so you can set the right target for each group.

Abbreviations and Acronyms

No prior knowledge is assumed. Every acronym used in this document is defined below.

AI: Artificial Intelligence

The four levels (the WHAT and WHY)

Level 1: Aware

Knows AI is in use, knows it can be wrong, knows when to ask for help. The minimum for every employee.

Level 2: Capable

Can use AI tools responsibly, recognizes obvious failure signs, knows what not to trust to the machine. The target for operational staff and most users.

Level 3: Fluent

Understands failure modes, legal and ethical obligations, and governance controls. Can design or review AI use safely. The target for builders, risk, and compliance.

Level 4: Accountable

Can set direction, weigh AI risk against value, and answer for outcomes to a board or regulator. The target for leadership and the board.

The governing principle

Literacy must match responsibility. The danger is not low literacy everywhere. It is a leader making Level 4 decisions with Level 1 understanding.

Where this stops (the boundary)

This map sets the targets. The paid AI Literacy and Culture Program Kit provides the curriculum and assessment that move each role to its target level.

Your next step: Get the **AI Literacy and Culture Program Kit, Full Edition** in the Execution Library (the instrument library's online storefront, section: The Core Governance Kits). Every instrument in the Execution Library is also included in the **Governance Vault**, the all-access annual licence.

AI GOVERNANCE CHAIN™ | AI Governance Framework

(c) 2026 Mathieu K. Gouanou. All rights reserved.

A member of the Harvard Business Review Advisory Council, an opt-in research community of business professionals.

Document standard: human-first AI governance.